



Staff Report

TO: Honorable Mayor and Members of the City Council
FROM: Christopher Ramos, Chief of Police
BY: Sarah Lower, Support Services Supervisor
DATE: August 18, 2026
SUBJECT: Resolution Authorizing a Federal Equitable Sharing Agreement to Receive Federally Forfeited Assets from Adjudicated Criminal Cases

Description: Adopt a Resolution authorizing the Mayor and the Chief of Police to sign a Federal Equitable Sharing Agreement allowing the City to receive federally forfeited assets from adjudicated criminal cases pursuant to the Federal Equitable Sharing Program.

Motion:

If the City Council determines that staff's recommendation is appropriate, the following motion is provided:

I move that City Council waive the full reading and adopt by title only, "A Resolution of the City Council of the City of Beaumont Authorizing the Mayor and the Chief of Police to Execute a Federal Equitable Sharing Agreement.

Recommendation:

The Beaumont Police Department participates in regional law enforcement task forces and conducts narcotics interdiction activities that may result in the seizure and subsequent forfeiture of assets associated with illegal drug activity. To remain eligible to receive a share of federally forfeited assets, the City is required to annually execute a Federal Equitable Sharing Agreement with the U.S. Department of Justice and Department of the Treasury. The agreement establishes strict accounting, reporting, and expenditure requirements to ensure forfeited funds are separately tracked and used exclusively to supplement law enforcement activities and enhance public safety without supplanting General Fund resources. The Police Department, in coordination with the Finance Department, is responsible for ensuring ongoing compliance with these requirements. Approval of the annual agreement will allow the City to continue participating in the Federal Equitable Sharing Program and remain eligible to receive

federally forfeited assets resulting from qualifying law enforcement activities.

Discussion:

The Beaumont Police Department participates in many regional task forces, and as a result, the City can receive federally forfeited funds. In addition to task force participation, the police department's K9 teams conduct street-level narcotic and drug interdiction investigations, which aims to prevent illicit drugs from reaching their destination. To receive such assets, the City is required to have a Federal Equitable Sharing Agreement on file with the Department of Justice and the Department of the Treasury.

Some investigations conducted by our K9 teams result in the seizure of assets (cash and/or property) that could be determined to be the proceeds of illegal drug transactions or used in the furtherance of illegal transactions. These drug assets may be seized under state or federal law. If the assets are proven to be drug-related, they are subject to forfeiture by a court of law. Once deemed legally forfeited, the assets may be shared with agencies involved in the seizure.

There are strict guidelines under both state and federal law governing the use of forfeited assets by cities and counties. These assets must be used for law enforcement purposes to supplement regular budgeted items. There are strict prohibitions against supplanting General Fund allocations with forfeited funds. The use of forfeited assets is a cost-effective way to further public safety goals without impacting the General Fund.

If a drug asset is forfeited under federal law, the responsible federal agency cannot transfer that asset to local law enforcement agencies involved without a signed Federal Equitable Sharing Agreement on file. The Agreement must be on file with both the Department of Justice and the Department of the Treasury and states that the City will comply with the following conditions upon receipt of a federally forfeited asset:

1. The forfeited funds will not be commingled with funds from other sources and will be accounted for using a separate revenue account or accounting code.
2. Interest earned on federally forfeited assets must be accounted for in the same account as the forfeited assets.
3. The forfeited funds will be subject to all standard accounting requirements as well as specific requirements for federally forfeited funds.
4. The City (via the Police Department) will submit annual Certification Reports to the Department of Justice and the Department of the Treasury accounting for the shared federal funds.

The Police Department is responsible for ensuring the City's compliance with the agreement, including the annual reporting. Staff will work with the Finance Department

regarding the accounting aspects of the agreement to ensure the forfeited funds and earned interest are tracked separately from other funds and utilized in accordance with federal law.

The Federal Equitable Sharing Program requires signatures from both the head of the Governing Body for the City and the Chief of Police on an updated agreement annually.

Fiscal Impact:

The amount of forfeiture funds for this upcoming fiscal year is unknown and dependent on criminal cases being adjudicated. If any federally forfeited funds are shared with the Police Department, the funds will benefit the City for one-time allocations, such as equipment purchases or training. A minimum amount of staff time is needed within the Police Department to ensure proper accounting of the funds and compliance with the sharing agreement.

Alternatives:

City Council may deny the staff recommendations and provide alternate direction, however due to this being a federal requirement, alternatives could lead to noncompliance and ineligibility to receive pending or future asset forfeiture funds.

Attachments:

- A. Resolution
- B. Federal Equitable Sharing Agreement